applications, agreements, amendments, payment requests and so forth, which may be necessary for the completion of the aforementioned project.

Section 5. The City clerk shall certify the adoption of this Resolution and shall cause this Resolution and the certification to be entered in the book of resolutions of the Council of the City of Hawthorne.

Section 6. This Resolution shall be in full force and effect immediately upon its passage and adoption thereof.

Passed, Approved and Adopted this 23rd day of June, 2026.

ALEX VARGAS, Mayor
City of Hawthorne, California

ATTEST:

DAYNA S. WILLIAMS-HUNTER, City Clerk
City of Hawthorne, California

APPROVED AS TO FORM:

DAVID CACERES, City Attorney
City of Hawthorne, California

AGENDA ITEM NO. 6.

CITY OF HAWTHORNE
City Council
AGENDA BILL
For the meeting of 06/23/2026
Originating Department: City Attorney

City Manager: Department Head:

SUBJECT:

RESOLUTION NO. 8613 - A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF HAWTHORNE, CALIFORNIA, SUBMITTING A PROPOSED INCREASE IN THE CITY'S TRANSIENT OCCUPANCY TAX TO THE CITY'S VOTERS AT THE MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026.

RECOMMENDED MOTION:

(1) Subject to adoption by the electorate, give first reading to an Ordinance amending Chapter 3.40 of the Hawthorne Municipal Code.

(2) Adopt Resolution No. 8613, submitting that Ordinance to the City's voters at the municipal election to be held on November 3, 2026.

DISCUSSION:

The City relies on a variety of revenue sources to fund its services, including a Transient Occupancy Tax ("TOT") on the rent charged by hotels and other commercial lodgings. (Hawthorne Municipal Code, Ch. 3.40.) Recent fiscal analysis prepared for the City indicates that, absent additional revenue, the City is projected to enter a structural budget deficit beginning in Fiscal Year 2035-2036, with that deficit growing over time. The analysis further demonstrates that the City's current TOT rate of 12 percent is relatively modest compared to neighboring jurisdictions, many of which impose rates from approximately 13 percent to 15.5 percent. Indeed, the City of Los Angeles is considering a measure to temporarily increase its TOT to 18 percent.

Staff, therefore, recommend increasing the TOT rate to 17 percent as a practical and fiscally responsible approach to strengthening the City's long-term financial position. The tax is paid primarily by visitors staying in hotels and other lodgings, rather than by local residents. Additionally, the City and its surrounding communities are expected to see increased visitor activity from major upcoming events such as the 2027 Super Bowl and the 2028 Olympic Games. In short, adjusting the TOT rate allows the City to better capture revenue associated with increased visitor activity while maintaining competitiveness in the regional hospitality market.

Increasing the TOT rate from 12 percent to 17 percent is projected to generate approximately $3.1 million in additional annual review, increasing total annual TOT collections to approximately $10.57 million. Over the long term, the proposed increase is projected to eliminate the structural deficit noted above, resulting in a positive General Fund balance.

The proposed Ordinance attached would amend Chapter 3.40 of the City's Municipal Code in two principal ways. First, as discussed above, it would increase the TOT rate from 12 to 17 percent of the rent charged to stay in a hotel or similar lodging. Second, it modernizes the City's TOT to ensure it applies not only to traditional hotels, but also to short-term rentals, including those that use an online hosting platform. This is intended to apply the City's TOT equitably across the evolving lodging market

so that all participants contribute their fair share of tax revenue.

The proposed TOT increase maintains the TOT's status as a general tax, meaning revenues are deposited in the City's General Fund and may be used for any purpose the Council approves. Under California law, this in turn means approval requires two steps. First, two-thirds of the Council must vote to propose it to the City's voters. Second, a simple majority of those voters must approve it in a general election that also includes a vote for seats on the Council.

Accordingly, if two-thirds of the Council approve the attached Resolution, the Ordinance amending the City's TOT will be presented to voters at the election set for November 3, 2026. If a simple majority approve it in that election, the Ordinance will become effective ten days after the Council certifies the election results.

ECONOMIC DEVELOPMENT STRATEGIC PLAN:
TBD

FISCAL IMPACT:
Submitting the Ordinance to the voters will incur costs associated with an initiative election, which are set by the Los Angeles County elections official. If approved, the Ordinance is projected to generate approximately $3.1 million in additional general revenues per year.

NOTICING PROCEDURE:
72 Hours posted notice pursuant to the Ralph M. Brown Act.

ATTACHMENTS
Resolution 8613
Proposed Ord. 2264

RESOLUTION NO. 8613

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF HAWTHORNE, CALIFORNIA, SUBMITTING A PROPOSED INCREASE IN THE CITY'S TRANSIENT OCCUPANCY TAX TO THE CITY'S VOTERS AT THE MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026

WHEREAS, the City Council of the City of Hawthorne wishes to present a transient occupancy tax ordinance, attached hereto as Exhibit A (the "Ordinance"), to City voters; and

WHEREAS, the Ordinance would increase the City's transient occupancy tax (Hawthorne Muni. Code, Ch. 3.40) to 17 percent; and

WHEREAS, the Ordinance would make additional amendments to Chapter 3.40 of the City's Code, including a clarification regarding the obligation to pay the City's transient occupancy tax for short-term rentals; and

WHEREAS, the City Council wishes to present the Ordinance to the City's voters at the general municipal election set for November 3, 2026; and

WHEREAS, the City Council seeks assistance from the Los Angeles County Registrar of Voters / Recorder / County Clerk ("County Elections Official") to consolidate this election with the statewide election on the same date.

NOW, THEREFORE, BE IT RESOLVED by the City Council of the City of Hawthorne as follows:

Section 1. Call of General Municipal Election. Pursuant to the laws of the State of California, the City Council hereby calls and notices a general municipal election to be held on November 3, 2026 (the "Election"), to consider the following measure:

Measure ___

Shall the measure increasing the City of Hawthorne's transient occupancy (hotel) tax from 12% to 17%, to maintain City services such as police and fire protection, street repairs, park / recreation programs, and other general City services, generating approximately $3.1 million annually, paid only by hotel / lodging guests until ended by voters, with all funds staying local, be adopted?	Yes ____ No ____

The full Ordinance comprising this measure is attached hereto as Exhibit A and is incorporated here by this reference. The Ordinance imposes a general tax and therefore requires the approval of a simple majority (50% plus one) of those voting on it.

Section 2. Request that County Conduct Election. The City Council hereby asks the Los Angeles County Board of Supervisors ("Board of Supervisors) to authorize the County Elections Official to render all services necessary to conduct the Election. The City Council hereby asks the Board of Supervisors to consolidate the Election with any other election the County Elections Official is to administer on November 3, 2026, and to order the Election to be conducted by the County Elections Official. (Elec. Code, §§ 10402, 10403.) The City Council acknowledges that the Election will be held and conducted in the manner prescribed in Elections Code section 10418. The ballots to be used in the election shall be in form and content as required by law.

The City Clerk is authorized and directed to work with the County Elections Official and to procure and furnish official ballots, notices, printed matter and all supplies, equipment and paraphernalia as needed to properly and lawfully conduct the Election. In all particulars not recited in this Resolution, the Election shall be held and conducted as provided by law for holding municipal elections. The City of Hawthorne will reimburse Los Angeles County for the reasonable actual costs incurred in conducting the Election upon receipt of a bill stating the amount due.

The notice of the time and place of holding the Election is hereby given, and the City Clerk and County Elections Official are authorized to give further notice of the Election as required by law.

Section 3. Implementation. The City Clerk is directed to file certified copies of this Resolution with the Clerk of the Board of Supervisors, with a copy to the County Elections Official. (Elec. Code, § 10402.) The City Clerk is further authorized and directed to perform all other acts necessary or required by law to implement this Resolution and related to the Election.

Section 4. Ballot Arguments.

A. The City Clerk shall set the deadline for submission of arguments for or against the Ordinance and provide notice of that deadline. The City Clerk may do this in coordination with the County Elections Official, as necessary. In all respects, the process to choose these arguments shall accord with Elections Code sections 9280 et seq. and 9600 et seq.

B. Further, the City Council hereby adopts the provisions of Elections Code section 9285(a) authorizing rebuttal arguments only as to the Election. This Subdivision 4(C) expires with the Election, and the provisions of section 9285, subdivision (a) shall not apply, thereafter absent further legislation of this Council.

Section 5. Impartial Analysis. The City Clerk is directed to transmit a copy of the Ordinance to the City Attorney, who shall prepare an impartial analysis of the Ordinance in accordance with applicable law. The impartial analysis shall indicate that the measure was placed on the ballot by the City Council.

If the entire text of the Ordinance is not printed in the voter information pamphlet, the following shall be printed immediately below the impartial analysis in no smaller than 10-point type: "The above statement is an impartial analysis of Measure (to be provided). If you desire the measure, please call the election official's office at (310) 349-2915 and a copy will be mailed at no cost to you."

Section 6. CEQA. This Resolution is not subject to review under the California Environmental Quality Act. (Pub. Resources Code, § 21000 et seq.) It concerns a government funding mechanism that does not commit to any specific project which may result in a potentially significant physical impact on the environment, and it can be seen with certainty that there is no possibility that adopting this Resolution, in itself, may have a significant effect on the environment. (14 CCR §§ 15061(b)(3), 15378(b)(4).)

Section 7. The City Clerk shall certify to the adoption of this Resolution and shall cause this Resolution and her certification to be entered in the Book of Resolutions of the Council of the City.

Section 8. This Resolution shall be in full force and effect immediately upon its passage.

PASSED, APPROVED, AND ADOPTED this ___ day of _____, 2026.

_____
Mayor, City of Hawthorne

ATTEST:

_____
City Clerk, City of Hawthorne

APPROVED AS TO FORM:

_____
City Attorney, City of Hawthorne

ORDINANCE NO. 2264

AN ORDINANCE OF THE CITY OF HAWTHORNE, CALIFORNIA, AMENDING CHAPTER 3.40 (TRANSIENT OCCUPANCY TAX) OF TITLE 3 (REVENUE AND FINANCE) OF THE HAWTHORNE MUNICIPAL CODE TO INCREASE AND OTHERWISE ADJUST THE CITY'S TRANSIENT OCCUPANCY TAX

THE PEOPLE OF THE CITY OF HAWTHORNE DO ORDAIN AS FOLLOWS:

SECTION 1. Title 3, Chapter 3.40, Section 3.40.020 of the Hawthorne Municipal Code is hereby amended to read as follows, with additions in underline and deletions in ~~strikethrough~~.

3.40.020 Definitions.

Except where the context otherwise requires, the definitions contained in this section shall govern the construction of this chapter.

"Hosting platform"
has the same meaning as in Section 17.74.010.

"Hotel"
means any structure, or any portion of any structure, which is occupied or intended or designed for occupancy by transients for dwelling, lodging or sleeping purposes, and includes any hotel, inn, tourist home or house, motel, short-term rental, studio hotel, bachelor hotel, lodginghouse, roominghouse, apartment house dormitory, public or private club, mobile home or house trailer at a fixed location or other similar structure or portion thereof.

"Occupancy"
means the use or possession, or the right to the use or possession of any room or rooms or portion thereof in any hotel for dwelling, lodging or sleeping purposes.

"Operator"
means the person who is proprietor of the hotel, whether in the capacity of owner, lessee, sublessee, mortgagee in possession, licensee, or any other capacity. Where the operator performs his or her functions through a managing agent or hosting platform of any type or character other than an employee, the managing agent or hosting platform shall also be deemed an operator for the purposes of this chapter and shall have the same duties and liabilities as his or her principal. Compliance with this chapter by either the principal or the managing agent or hosting platform shall, however, be considered to be compliance by both.

"Person"
means any individual, firm, partnership, joint venture, association, social club, fraternal organization, joint stock company, corporation, estate, trust, business trust, receiver, trustee, syndicate or any other group or combination acting as a unit.

"Rent"
means the consideration charge, whether or not received, for the occupancy of space in a hotel valued in money whether to be received in money, goods, labor or otherwise, including all receipts, cash, credits and property and services of any kind or nature, without any deduction therefrom whatsoever.

"Short-term rental"
has the same meaning as in Section 17.74.010, regardless of whether that short-term rental holds the permit required by Section 17.74.020 or is otherwise in compliance with Chapter 17.74.

"Tax administrator"
means the city treasurer or his or her designee.

"Transient"
means any person who exercises occupancy or is entitled to occupancy by reason of concession, permit, right of access, license or other agreement for a period of thirty consecutive calendar days or less, counting portions of calendar days as full days. Any such person so occupying space in a hotel shall be deemed a transient until the period of thirty days has expired unless there is an agreement in writing between the operator and the occupant providing for a longer period of occupancy.

In determining whether an individual is a transient, uninterrupted periods of time extending both prior and subsequent to the effective date of the ordinance codified in this chapter may be considered.

SECTION 2. Title 3, Chapter 3.40, Section 3.40.050 of the Hawthorne Municipal Code is hereby amended to read as follows, with additions in underline and deletions in ~~strikethrough~~.

3.40.050 Tax imposed.
For the privilege of occupancy in any hotel, each transient is subject to a tax in the amount of ~~twelve~~ seventeen percent of the rent charged by the operator. The tax constitutes a debt owed by the transient to the city which is extinguished only by payment to the operator or to the city. The transient shall pay the tax to the operator of the hotel at the time the rent is paid. If the rent is paid in installments, a proportionate share of the tax shall be paid with each installment. The unpaid tax shall be due upon the transient's ceasing to occupy space in the hotel. If for any reason the tax due is not paid to the operator of the hotel, the tax administrator may require that such tax shall be paid directly to the tax administrator.

SECTION 3. Title 3, Chapter 3.40, Section 3.40.080 of the Hawthorne Municipal Code is hereby amended to read as follows, with additions in underline and deletions in ~~strikethrough~~.

3.40.080 Registration.

Within ~~thirty days after September 20, 1971, or within~~ thirty days after commencing business, ~~whichever is later,~~ each operator of any hotel renting occupancy to transients shall register said hotel with the tax administrator and obtain from him or her a transient occupancy registration certificate to be at all times posted in a conspicuous place on the premises. Said certificate shall, among other things, state the following:

A. The name of the operator;

B. The address of the hotel;

C. The date upon which the certificate was issued;

D. "This Transient Occupancy Registration Certificate signifies that the person named on the face hereof has fulfilled the requirements of this part by registering with the City of Hawthorne Tax Administrator for the purpose of collecting from transients the Transient Occupancy Tax and remitting said tax to the Tax Administrator. This certificate does not authorize any person to conduct any unlawful business or to conduct any lawful business in an unlawful manner, nor to operate a hotel without strictly complying with all local applicable laws, including but not limited to those requiring a permit from any board, commission, department or office of this city. This certificate does not constitute a permit."

SECTION 4. If any section, subsection, sentence, clause, or phrase of this Ordinance is for any reason held to be invalid or unconstitutional, such decision shall not affect the validity of the remaining portions of this Ordinance.

SECTION 5. This Ordinance is not subject to review under the California Environmental Quality Act. (Pub. Resources Code, § 21000 et seq.) It concerns a government funding mechanism that does not commit to any specific project which may result in a potentially significant physical impact on the environment, and it can be seen with certainty that there is no possibility that adopting this Ordinance, in itself, may have a significant effect on the environment. (14 CCR §§ 15061(b)(3), 15378(b)(4).)

SECTION 6. The City Council may further amend Chapter 3.40 without approval by the City's voters unless such an amendment would "increase" any tax that chapter imposes within the meaning of Government Code section 53750, subdivision (h).

SECTION 7. Pursuant to Elections Code § 9217, this Ordinance shall take effect 10 days after the City Council certifies it has been approved by a simple majority of the City's voters.

PASSED, APPROVED, AND ADOPTED this ___ day of _____, 2026.

_____

Mayor, City of Hawthorne